

INDIAN ECONOMY

LEVEL
II



LECTURES

- ASSETS/LIABILITIES OF RBI
- RESERVES OF RBI
- REPO/REVERSE REPO/SDF/LTRO/TLTRO

MODULE - 26





RBI ... LIABILITIES

- Currency in Circulation (C-in-C).
- Deposits of banks (deposits for maintenance of CRR).
- Deposits by the Central and State Governments
- Deposits by All India Financial Institutions, other deposits etc.



RBI ... ASSETS

- Net Foreign Currency Assets
- Gold Coin Bullion
- Rupee Securities
- Loans and Advances to State Governments and Centre (WMA and others)
- Loans and advances to banks and commercial sector etc.

Following a change in accounting practice from 2014, repo, term repo and MSF, net of reverse repo/term reverse repo, are being treated as loans and advances to banks and commercial sector.



HOW RBI EARNs MONEY ?

- Through investment activities/Repo operations.
- Substantial income from investments in US treasury bills.
- Commissions and interests earned through currency market interventions.
- Interest earned on bond holdings through open market operations of purchase and sale of Govt. securities.

WHAT ABOUT RBI EXPENDITURE?

- It gives commission to the banks for the operation of accounts of State Govts and Central Govt. by various commercial banks on its behalf.
- Interest to be paid, when it undertakes reverse repo operations/SDF.
- Printing of currency notes.

Part of the surplus will be used to maintain the reserves.





RBI HAS TO MAINTAIN MINIMUM RESERVES

1 ABOUT CONTINGENCY FUND

- The Contingency Fund (CF) should be between 5.5% - 6.5% of the assets.
- In excess of this can be transferred to the Centre.



2 CURRENCY AND GOLD REVALUATION ACCOUNT (CGRA)

- They cannot be transferred irrespective of their accumulation.
- They are built upon due to currency fluctuations and value of gold and hence cannot be transferred to the Centre.



These minimum reserves were based on Bimal Jalan Committee. Students should also note that RBI, as usual, transfers surplus to Centre every year. This is non-tax revenue to the Central Government.

WHAT DO YOU UNDERSTAND BY LAF AND MSF?

- **Liquidity Adjustment Facility** allows banks borrow money for short-term from RBI through repurchase agreements.
- **Marginal Standing Facility** allows banks borrow money from RBI by dipping into the Statutory Liquidity Ratio (SLR) securities.



Liquidity Adjustment Facility (LAF) and Marginal Standing Facility (MSF) have also been extended to Regional Rural Banks around two years ago.

MORE ON LAF AND MSF OPERATIONS

- Under the present windows of Liquidity Adjustment Facility (LAF) and Marginal Standing Facility (MSF), banks were offered money for their immediate needs, ranging from 1 to 28 days.
- Also, under the LAF, banks could only borrow short-term money up to a maximum of around 0.75% of their deposits. This may vary depending on the RBI decision from time to time.



STANDING DEPOSIT FACILITY (SDF) WAS LAUNCHED IN APRIL, 2022

- The SDF as a liquidity management instrument was recommended by the 'Expert Committee to Revise and Strengthen the Monetary Policy Framework,' headed by the Chairman Urjit R Patel, in January 2014.
- In 2018, the Section 17 of the RBI Act, 1934, was amended to empower the RBI to introduce this instrument, which was launched in April, 2022. With this, the fixed-rate overnight reverse repo has ceased to be the floor of the LAF corridor.
- However, the reverse repo continues to remain in the toolkit of the RBI as a monetary policy instrument and its operation will be at the discretion of the RBI for purposes specified from time to time.

SDF GIVES FLEXIBILITY TO ABSORB HUGE LIQUIDITY!

SDF, being a non-collateralised instrument, gives the flexibility for surplus liquidity management of larger magnitude as it removes the "binding constraint" on RBI to possess Government securities in its balance sheet.



SALIENT FEATURES OF STANDING DEPOSIT FACILITY

4 Deposits under the SDF shall not be reckoned as balances eligible for the maintenance of the **Cash Reserve Ratio (CRR)** under **Section 42 of the RBI Act, 1934**, but shall be an eligible asset for maintenance of the **Statutory Liquidity Ratio (SLR)** under **Section 24 of the Banking Regulation Act, 1949**.

3 It is operated on an **overnight basis**, with the flexibility to absorb liquidity for longer tenor with appropriate pricing.

ELIGIBLE
UNDER SLR ...
BUT NOT
UNDER CRR!



1 It is the **floor of the LAF corridor**, replacing the hitherto fixed rate reverse repo.

2 It is a **monetary policy instrument to absorb liquidity** without any collateral and its interest rate is **5.65 per cent** as on **25th November, 2022**.

RBI ACT
1934

LTROs & TLTROs

- Long Term Repo Operations (LTRO) is the special window, which will be highly **beneficial** to the banks, as it is for long duration of **1-3 years** at low interest rate.
- It requires **collateral** to be provided by the commercial banks through **Government securities**. It is expected to **increase Monetary Transmission**.
- On tap Targeted Long-term Repo Operations (TLTRO) have also been undertaken by RBI from time to time.



MONETARY TRANSMISSION

Changing **repo rate** usually **influences interest rates** across the economy and in the same direction. This is known as **monetary transmission**.



RETAIL INVESTORS CAN DIRECTLY PARTICIPATE IN G-SEC MARKET



ONE CAN OPEN RETAIL DIRECT GILT ACCOUNT (RDG ACCOUNT) WITH RBI!

- We can open and maintain a Retail Direct Gilt account with the RBI through the portal. It will also provide access to primary issuances of G-Secs and secondary market.
- Retail investors have been allowed to buy and sell treasury bills, government bonds, sovereign gold bonds as well as SDLs through this facility.

The minimum investment is kept at Rs. 10,000.

DEPOSIT INSURANCE IN INDIA

- The Deposit Insurance and Credit Guarantee Corporation Amendment Act was passed by Parliament in 2021 and made significant changes in the landscape of deposit insurance in India.
 - The functions of DICGC are governed by the provisions of the DICGC Act, 1961.
 - Under the Act, the corporation is liable to pay the insured deposit amount to the depositors of an insured bank.
 - Such liability may arise under the following circumstances:
 - ✓ Liquidation of the bank (sale or closing down of the bank construct).
 - ✓ Reconstruction or any other arrangement under a scheme.
 - ✓ Merger or Acquisition by another bank.
- Deposit Insurance provided by DICGC covers all commercial banks, including payment banks, small finance banks, regional rural banks, foreign bank branches in India, local area banks and cooperative banks in all States and the Union Territories.
 - DICGC registers a bank as insured immediately and automatically when a banking license issued to it.
 - The deposit insurance premium is compulsory for all insured banks and is paid by banks to DICGC and is not recovered from the depositors.





IT WAS ORIGINALLY Rs. 1,500

- The deposit insurance coverage began with Rs. 1,500 in 1961.
- It has been gradually raised to Rs. 1,00,000 in 1993 but has been static thereafter till 2020.
- The deposit insurance cover was increased from Rs. 1,00,000 to Rs. 5,00,000 per depositor per bank as per the announcement made in Union Budget 2020-21.

Clear cut timeline of maximum of 90 days has been fixed for providing interim payment to depositors.

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SINCERE THANKS
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Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

98499 42299